THE NASDAQ INDEX

Figure 8-3 shows the NASDAQ index as being in the same position as the DJIA and S&P, i.e., within wave (5) of ⑤. While every wave is present, the guidelines of wave formation are less ideally fulfilled in this index than in the ones more widely watched. Despite that imperfection, this index, like the Dow and the S&P, is approaching major trendline resistance as well. While the rise could end right at the upper parallel, if the Dow and S&P move to their *higher* resistance lines, then the NASDAQ will produce a substantial throw-over, itself a classic sign of euphoria signaling the exhaustion of a long term trend.

Throughout the past dozen years, the advance-decline line for the NASDAQ has been falling, creating bearish "divergences," i.e., lower highs in this case, against the new highs in the index. (This concept is discussed in Chapter 9.) The minor divergence of 1986-1987 preceded the crash of 1987. The latest divergence is far more severe, as you can see at the bottom of Figure 8-3.

To conclude, the five-wave counts, the approaches to the upper end of trend channels, the Fibonacci 21 years since the bull market began, the poorly performing advance-decline line since 1983, and the national mania to own stocks all combine to paint the picture of a historic top in the making.

SECONDARY STOCKS

Although many people point to the strong performance of certain broad indexes as evidence that low-priced stocks have been doing well, it is a false indicator. Though the *indexes* have made new highs, it is the higher priced blue chips *within* those indexes that have carried the ball. For proof of this assertion, just look at the horrendous performance of the advance-decline line for the NASDAQ index, as shown near the bottom of Figure 8-3. For even more evidence, take a look at the Value Line index.

The Value Line Composite Index

The Value Line Composite index mirrors the experience of an investor who owns equal amounts of randomly selected stocks, which is an excellent mirror of most individual investors' portfolios. Although there have been some critiques of the VLC's method of calculation, there is ample evidence to show that when the low priced stocks are in favor, the VLC well reflects that fact.